**Higher National Diploma in Accountancy**
**First Year - First Semester Examination - 2019**
**HNDA 1101 - Fundamentals of Financial Accounting**

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**Instructions for Candidates:**
**Answer five (05) questions including 1 and 2**

**No. of questions: 06**
**No. of pages: 08**
**Time : 3 hours**

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**Question No-01 (25 Marks)**

1. List the key elements of the financial statements as per the Framework for Preparation and Presentation of Financial Statements. (02 Marks)
2. What is the qualitative characteristics of accounting information complied in each of the following situation by an entity?
   a. Equipment is depreciated on the straight —line method each year
   b. financial statements are prepared on historical cost basis while the general price level is continuously increasing. (02 Marks)
3. Errors in accounting can be divided in two categories based on the impact of such errors to the trial balance. Give two examples to each of these categories. (02 Marks)
4. State the difference between Financial Accounting and Management Accounting reports on the following aspects. User of reports, Frequency of preparation, and nature of information reported. (03 Marks)
5. State two types of transactions recorded in the General Journal of a firm. (02 Marks)
6. State the relevant prime entry book and source of document used to record each of the following transactions
   a) Introduction of cash as capital by the owner
   b) Returning of goods purchased on credit to the supplier
   c) Purchase of stationery on credit
   g) Provision for doubt debts (04 Marks)

7. Thilak started a retail business by investing Rs. 1,000,000 on 01.04.2018. During the month of April, purchased stock Rs. 240,000 and sold them all on credit basis to Rs. 360,000. Sales and returned inward from the buyer the goods that invoiced price is Rs. 60000. Out of the above transaction what is the amount of increasing the equity on 30.04.2018 (02 Marks)
8. Write the similarities and a difference between “Equity” and “Liabilities”. (03 Marks)

9. ABC ltd is a VAT registered company and the summary of the VAT control account for the year ended 31/03/2018 is given below. All purchases and sales are on cash.

| | Dr (Rs.000) | Cr (Rs.000) |
|---|---|---|
| Balance as at 1/04/2017 | | 150 |
| Cash (Collected in sales) | | 2500 |
| Cash (paid for purchase) | 650 | |
| Cash (paid to Inland Revenue Department) | 1700 | |

Compute the VAT liability as at 31.03.2018 assuming that all VAT Paid on Purchase can be deducted. (02 Marks)

10. State whether each of the following statements is True or False. Write True or False in your answer booklet with the number assigned to the question.
    a) 5Realization Concept is the accounting concept which suggests to value inventories at the lower of cost or net realizable value.
    b) Equity is the residual interest in the assets of an entity after deducting all its liabilities.
    c) When the residual value of depreciable assets exceeds its depreciable amount, it is not necessary to depreciate the assets. (3 Marks)

**Question No- 02 (30 Marks)**

Mala and Geetha were partners of a partnership and following have been extracted from their partnership agreement.

a. Profit and losses should be shared in the ratio of 3:2 between Mala and Geetha respectively.
b. Mala and Geetha are entitled to receive a monthly salary of Rs. 8,000/- and Rs. 5,000/- respectively.
c. Partners are entitled to receive 10% interest Per annum on capital.

On 1st January 2019 Seetha joined to the partnership with a profit share of ¼ and old partners agreed to share the balance profit in line with their old profit sharing ratio. Seetha bought Rs.290,000 being his capital and share of goodwill. According to the new partnership agreement, partner is not entitled to receive salaries. And other terms were:

a. Interest on Capital 12% per annum and loans provided by partners are entitled to an annual interest rate 10% per annum on balance.
b. Interest on Drawing 6% per annum.

The trial balance of the Mala, Geetha and Seetha partnership as at 31st March 2019 is given below.

| | Dr. (Rs.) | Cr. (Rs.) |
|---|---|---|
| Land and Building at cost (land at cost 400,000) | 1,000,000 | |
| Motor vehicles - cost | 400,000 | |
| Office equipment - cost | 450,000 | |
| Provision for depreciation as at 1/4/2018 - Building | | 200,000 |
| - Motor Vehicles | | 140,000 |
| - Office equipment | | 75,000 |
| Electricity | 17,500 | |
| Telephone | 4,500 | |
| 10% Fixed deposit | 200,000 | |
| Rent | 30,000 | |
| Distributing expenses | 33,000 | |
| Interest income | | 6,000 |
| Other expenses | 13,000 | |
| Provision for doubtful debts as at 1/4/2018 | | 10,000 |
| Debtors / Creditors | 275,000 | 171,250 |
| Staff salaries | 31,000 | |
| Inventory as at 01. 04.2018 | 45,00 | |
| Purchases/Sales | 375,000 | 970,000 |
| Return inwards / Return outwards | 5,000 | 4,500 |
| Capital accounts as at 1/4/2018 - Mala | | 300,000 |
| - Geetha | | 260,000 |
| Capital of Seetha | | 290,000 |
| Current accounts as at 1/4/2018 - Mala | 15,000 | |
| - Geetha | | 20,000 |
| 12% Bank Loan (was obtained at 1/10/2018) | | 340,000 |
| Seetha's Loan (from 1/1/2019) | | 240,000 |
| Loan interest (including Seetha's Loan interest Rs.2000) | 17,000 | |
| Sales commission | 27,000 | |
| Finance expenses | 21,000 | |
| Cash at Bank | 67,750 | |
| | **3,026,750** | **3,026,750** |

The following additional information is also available.

1. Cost of the closing inventory of the business is valued at Rs.175.000/- and the net realizable value of these stocks was estimated as Rs.150,000/-.
2. As at 1st January 2019 goodwill of the partnership was valued at Rs. 360,000/- and it was decided to write off goodwill through Capital account.
3. Two-Third of sales is relevant to the first 9months.
4. All income and expenses are distributed on time basis (excepts to any other Specific basis)
5. Accrued expenses as at 31st March 2019 were Electricity Rs. 6,500/- and Telephone Rs. 8,500/-
6. On the day Seetha was admitted, the Motor Vehicle was revalued at Rs. 300,000.
7. Fixed assets are depreciated on following method as follows.

   Building 12% on reducing balance method

   Motor vehicle 10% on Straight line method

   Office equipment 15% on cost
8. It was decided to write off Rs. 5,000/- as bad debts for first 9months. The general provision for the doubtful debts should be made as 10% of the remaining balance of debtors. (The debtors balance as at 1st January 2019 was Rs. 95,000/-).
9. The following goods drawings made by the partners have not been accounted.

   Gectha — Rs.1,500/- per month at the beginning of each month

   Seetha — Rs.1,000/- per month at the end of each month

**You are required to:**

(a) Trading, profit and loss appropriation account for the year ended 31st March 2019.

(b) Partners' capital account and the current account.

(c) Statement of financial position as at 31st March 2019. (30 Marks)

**Question No- 03 (15 Marks)**

1. The following transactions were extracted for the month of March 2019 from the books of the business of Ananda, a sole proprietor:

| Date | Transaction |
|---|---|
| 01.03.2019 | Ananda commenced the business is by investing Rs.500,000/- in cash |
| 10.03.2019 | Purchased goods for resale for Rs.750,000/- on credit. |
| 17.03.2019 | Stocks costing of Rs. 300,000/- were sold for cash with a profit margin of 10% on cost. |

| | |
|---|---|
| 22.03.2019 | The balance of Rs.100,000 payable to a creditor was settled by Ananda and creditor allowed a discount of Rs.5,000. |
| 31.03.2019 | Purchased a computer for Rs.100,000/- on cash for sole traders' personal use |

**You are required to:**

Record the effect of each of the above transactions to the following accounting equation:

[Non-Current Assets + Inventories + Debtors + Cash = Equity + Liabilities] (05 marks)

2. The following information was extracted from the books of crown ltd.

i. Following balances are shown in debtors control Account as at 31.03.2018

| | Rs. | | Rs. |
|---|---|---|---|
| As at 01.04.2017 – Debit balance | 425,000 | Return inwards | 5,450 |
| Credit balance | 42,000 | Credit sales | 825,000 |
| Cash received from debtors | 468,750 | Claim from debtors | 7,250 |
| Discount allowed | 7,250 | Bills receivable from customers | 25,000 |
| Credit balance as at 31.03.2018 | 3,450 | Balances transferred from creditors ledger | 11,250 |

ii. The balance of the debtors control account was not equal with the total of the sales ledger balances. Subsequently following mistakes were revealed.

a. Sales invoice Rs. 7,250 was completely omitted form the hooks.

b. Cash received from a debtor Rs. 3,450 has been recorded twice in the receipts journal.

c. Acash sale of Rs. 12,000 was wrongly entered in the debtor's personal account

d. The total of the discount allowed column Rs. 2,450 has been under cast.

e. Return inward form a debtor Rs. 17,450 has been recorded in the prime entry book as Rs. 7,540.

f. Cash received Rs. 3,450 from a debtor which is written off as bad debt.

**Required**

1. The debtors control account before rectifying above errors.
2. Adjusted debtors control account.
3. Prepare the statement of reconciliation for Debtors Control Account balance with the balance obtained from debtors' ledger. (10 Marks)

**Question No- 04 (15 Marks)**

Janaka is the newly appointed bookkeeper Nilmini Traders and the trial balance prepared by him as at 31st March 2019 did not agree. The difference has been transferred to the suspense account and prepared the draft financial statements. A. profit of Rs. 452,750 was shown as per the draft financial statements for the year ended 31st March 2019.

The following errors were identified subsequently:

1. Net Realizable value of stock as at 31st March 2019 was less than the cost Rs. 12,500. However, in computing, the profit for the year, closing stocks have been valued at cost.
2. Rent Income of Rs. 1,200/- has been recorded as Rs. 2,100/- in Rent expenses account. This was correctly recorded in the cash book.
3. A cash sales amounting to Rs. 115,000/- Including VAT of Rs. 15,000 have been credited to the sales account.
4. Rs. 6,500 had been received as discount when settling cash to suppliers. This discount was erroneously recorded in the credit side of the bank column as Rs. 8,500.
5. Total of debit and credit discount columns of the cash book had been set off against each other and taken the net amount as debit balance of Rs. 15,000. This had been transferred to the creditors account. The total of the discount column in the payment side of the cash book is Rs. 82,000.
6. The company has entered into a purchase agreement for the next year for the value of Rs. 350,000 and had paid an advance of Rs. 50,000. When recording this transaction Rs. 350,000 had been debited to purchase account and Rs. 50,000 and Rs. 300,000 had been credited to cash book and creditors account respectively
7. As at 31st March 2018 prepayment of electricity bill was Rs. 9,000. When passing the adjusting entry, only entry passed was debiting the electricity prepayment account.

**You are required to:**

(a) Prepare Journal Entries to rectify the above errors and Suspense Account. (10 masks)

(b) Calculate adjusted Profit (Loss) for the year ended 31st March 2018 of Nilmini Traders (05 masks)

**Question No- 05 (15 Marks)**

1. "Bank Reconciliation Statements are prepared by Organizations to correct mistakes being done by the bank and by the organization in the bank column of the cash book." Do you agree with this statement? Give reasons for your answer. (3 marks)
2. The following details are relevant to Yamuna Ltd. for the month ended 30th April, 2019.
   i. On 1 April 2019 the cash book's bank column had a debit balance of Rs. 90,000. However, the bank statement balance as at that date was a credit balance of Rs. 75,000. Reasons for this difference were:
      a) A cheque of Rs. 25,000 being deposited in March 2019 in the bank account but not realized by the date
      b) A cheque of Rs. 10,000 being issued to a creditor but dishonored by the bank in March 2019 due to an error in cheque writing.
   ii. On 30 April 2019 the bank statement had a credit balance of Rs. 150,000, but balance in the bank column of the cash book was different from the statement's balance.
   iii. The Accountant of Yamuna Ltd. reported the following information.
      a) Cheques deposited in April 2019 but unrealized by 30 April were amounted to Rs. 65,000.
      b) Cheques for Rs. 120,000 issued to the supplier in April but the Cheques were presented to the bank on May 2019.
      c) Direct bank remittances by debtors of Yamuna amounted to Rs. 50,000.
      d) The cheque which was dishonored by the bank in March 2019 was represented by the creditor and it was honoured by the bank in April.
      e) Payments on standing orders during the month amounted to Rs. 25,000. However, in the cash book only Rs. 15,000 had been recorded.
      f) The cheque for Rs. 25,000, which was deposited in March 2019 had not been realized even by 30 April 2019.
      g) Bank had mistakenly credited another company's cheque amounting Rs. 12,000 to Yamuna's account.

**You are required to**

i. Prepare the adjusted cash book for the month of April, 2019

ii. Prepare a bank reconciliation statement as at 30th April, 2019 (12 Marks)

**Question No- 06 (15 Marks)**

The following information were extracted from the books of Maanal JPK (Pvt) Ltd, a Glass Bottles Manufacturer for the year ended 31st March 2018:

| | Rs. |
|---|---|
| Raw material purchases | 1,750,000 |
| Salaries - production manager | 250,000 |
| Carriage inwards - raw material | 950,000 |
| Direct wages- production workers | 250,000 |
| Building rent | 300,000 |
| Sales commission | 120,000 |
| Security expenses | 276,000 |
| Insurance | 120,000 |
| Other In-direct expenses | 284,000 |
| Electricity | 175,000 |
| Power and fuel | 1,750,000 |

The following additional information is also provided:

1. Inventories are valued as follows:

| | As at 1st April 2017 | As at 31st March 2018 |
|---|---|---|
| Raw material | 2,300,000 | 1,800,000 |
| Work-in-progress (valued at total production cost) | 1,050,000 | 710,000 |

2. Office premises occupy 1/4 of total area of Building. Lighting and insurance, is to be charged as to 2/3 to factory and 1/3 to office
3. Depreciation charge for Machinery and Building per quarter are Rs.23,500 and 12,000 respectively.
4. Raw Materials amount of Rs. 27,500 were damaged due to improper storage arrangement.
5. Accmued electricity and Rent as at 31/04/2018 were Rs. 7,600 and Rs. 4,000 respectively.
6. The production workers are entitled to get an Additional wage of Rs.7.50 for each bottle produced during the year. Total number of bottles produced during the year was 10,000.
7. The company has obtained the rights to manufacture the bottles under the licensing agreement for which the company has to pay Rs.75 per each bottle produced.
8. Manufactured goods are transferred to sales division with a mark-up of 25% on cost.

**You are required to:**

a). Prepare the manufacturing Account of JPK (Pvt) Ltd for the year ended 31st March 2018.

b). Compute the value of the goods that are transferred to the sales division.

c). calculate the selling price of a bottle. (15 Marks)